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❖ Horizon Asset Management, Inc. ❖

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4th Quarter 2009

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Commentary

4<sup>th</sup> Quarter 2009 Market Commentary

*By Steven Bregman*

The Core Value Composite returned 28.48% (net) for 2009, ending the decade with a ten year annualized return of 6.92% (net) compared with a -0.95% annualized for the S&P500. We continue to invest in our firm and are pleased to welcome our new Chief Executive Officer, Doug Kramer. We look forward to leveraging Doug's background to further enhance Horizon's overall capabilities. Additionally, Doug's arrival will allow the senior investment staff to devote more of their time to research and portfolio management. The investment team remains focused and enthusiastic regarding discovering undervalued businesses in these volatile times. We believe that even with the significant appreciation the composite experienced from the March 2009 lows, the portfolio still remains significantly discounted and continues to offer attractive return potential for long-term investors.

Historically, we begin our commentaries by discussing new positions. In the fourth quarter of 2009 we initiated positions in three new companies. However, we cannot yet comment on these new positions as they are still in the process of being implemented. We will instead focus our commentary this quarter on key elements of our investment philosophy, namely long term business value compounding and our portfolio construction process. We will end with a quick discussion of "asset bubbles."

*Compounding, Book Value and the Private Market Mentality*

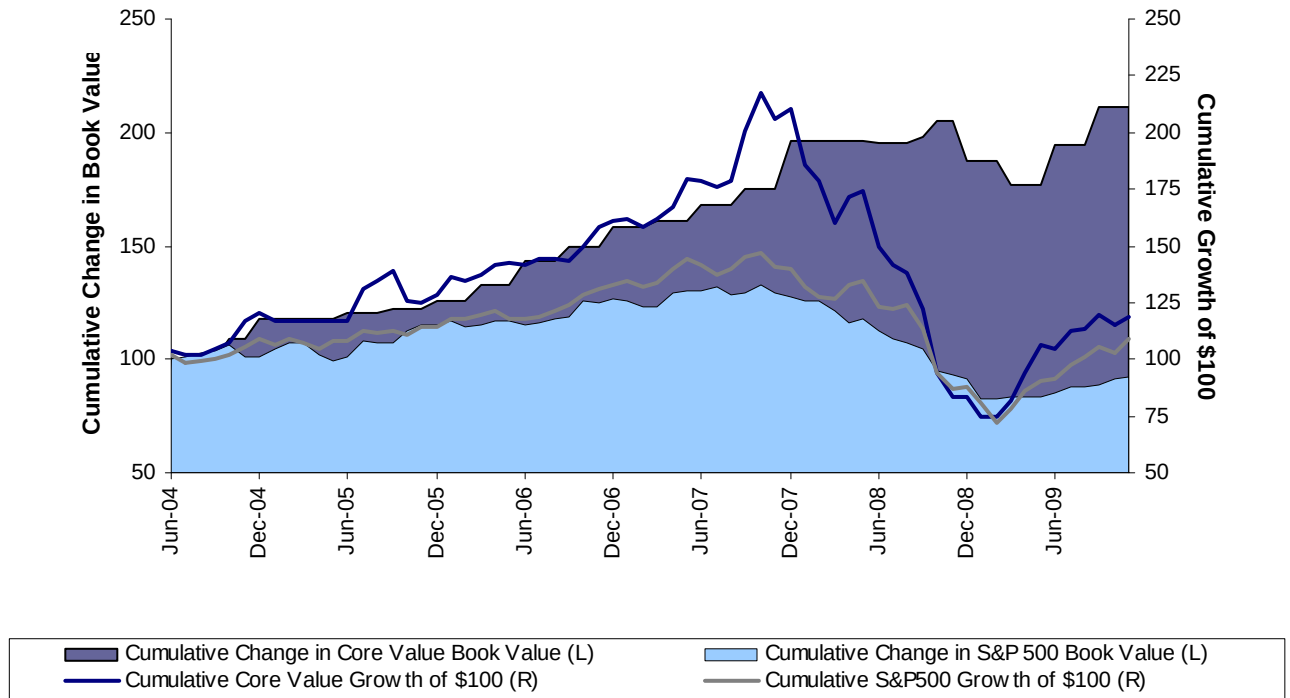
The compounding of book value for a company that can sustain a reasonably high return on equity over time necessarily takes many periods to make a substantial impact. It is as exciting, in the short term, as watching paint dry. Yet the ultimate impact can be very dramatic. Those of you who have followed Horizon for a while know that our valuation models for companies are typically framed in an investment horizon of, say three to five years or longer, and in some cases in decades. That is the basis upon which we typically select securities – those with a favorable future outcome for which other investors do not wish to wait. Their avoidance of time risk and near-term relative return risk produces a discount for someone else who is indifferent to the time and relative return risk.

As you probably know, our turnover rate is about 20% -- it was 18% last year – which works out, by extension, to a holding period of roughly five years. In practice, as well as in theory, we target an expected long-term future outcome.

One way, among others, to measure the fundamental results of our research and selection process would be to graph the growth in book value per share of our portfolio companies over a period of years.

**Compounding Book Value:**

**Core Value vs. S&P 500**



**Assumptions:**

Period: Month end holdings from Jun 2004-Nov 2009.  
Analysis is done on the holdings of a representative Core Value account.

**Calculation methodology:**

% of MoM Change in Book Value is calculated based on percentage increase of Book Value ratio on the portfolio's month end position based on market data at the beginning and end of month. Cumulative Book Value is then calculated by compounding the beginning Book Value of 100 by the % MoM Change in Book Value.

Book Value : total assets minus intangible assets minus current liabilities minus any long-term liability and equity issues that have a prior claim.

Source: APL, Factset, Bloomberg, [www.vaneck.com](http://www.vaneck.com). Market data coverage is close to 100%. Fixed Income and Cash are assigned no incremental book value compounding. Analysis is done on the total portfolio level. The Market Gaming – ETF's (BJK) Book Value is calculated from the market weighted average Book Value of its quarterly holdings.

- The chart above shows the cumulative change in book value of the underlying businesses within the Core Value strategy over the course of the last 5½ years. As private market investors this would be one of our primary measures - an actual economic, financial measure of our portfolio return. The balance sheet and income statements that derive this chart are what one would take to a banker if you wanted collateral for a loan or to an investment banker to set a private sale price.
- Viewed in this manner the portfolio compounded at about a 14.8% annual rate, despite the deep recessionary pressure of 2008 and 2009, as well as the associated write downs

on portfolio company balance sheets. If there were no public prices available to inform us otherwise, and we were to receive our quarterly financial review of the portfolio of companies we hold, we would actually think we were generating material economic value. Although aggregate book value declined by as much as 15% between late 2008 and mid-2009, we believe that it is not an unsettling result, given the circumstances. One may actually say it was a pretty good result. That book value measure is now at or above the high it achieved in 2008.

- We also engaged in the same exercise for the S&P 500 Index, where the cumulative change in book value declined by almost 10% during the 5½-year period. The clearing price of the index during this time period fell at a similar yet more volatile rate. It is pretty clear that the share prices of the Core Value Portfolio companies depreciated with more vigor than those of the S&P 500 during the period when investors sought liquidity in unprecedented magnitude in late 2008 and early 2009. The result was a decline of over 50% in the marked to mark value of our portfolio companies-- followed by a sharp but, to date, only partial recovery in their share prices relative to their growth in book value.

The share price behavior, if you follow the line chart that overlays the area chart, was reasonably consistent with the progression of book value until 2008. From that point forward, it bears little relationship to the economic reality of the underlying businesses. It simply means that the clearing prices of stocks were a lot lower at year-end 2008, and lower still at March 2009. The 2009 returns simply mean that the clearing prices are now somewhat higher.

#### *The Impact of Low Turnover on Core Value Portfolio Construction*

As a general matter, Horizon allows portfolio positions to fluctuate with short term market movements. We believe that short term security price movements are nearly impossible to predict, and hence we spend no time trying to tactically trade. Horizon does spend considerable time monitoring portfolio companies relative to our investment thesis, seeking to find companies and ultimately a portfolio of companies that grow shareholders' equity over time (see prior chart on compounding book value). Imbedded within the compounding book value theme is an explicit process of letting portfolio company weightings actively fluctuate. In order to illustrate this more tangibly, let's focus on Anglo American, a Core Value portfolio company that, without assistance, moved to the fifth largest holding in the composite today from not being in the top 10 holdings one quarter ago. Horizon did not actively add to the position, it is merely that it appreciated by 36% in the quarter and is now a 3.8% position. Relative to its initial target weight, it grew by 40%. However, assuming we proclaimed to have short term tactical trading abilities and constantly adjusted our position weights as they appreciated, so as to maintain fidelity to a

target weight, then Anglo American would not have increased its portfolio weighting and, more importantly, it would not have contributed as much to the portfolio's return.

From this point forward, if Anglo American appreciates another 50%, this would be from its current weight of 3.8% rather than the 2.8% position size as of Sept. 30, 2009. That increased portfolio weighting would add one-half percentage point to the return of the entire portfolio *versus* having it rebalanced to a 2.8% position.

At that point, Anglo American would have become a 5.7% position, so that another 50% of appreciation, if we carry the example further, would have added 1.45% points of incremental return to the entire portfolio *relative to* the same 50% appreciation of a rebalanced 2.8% position. Letting positions diverge from their initial weightings over time – not naively, but subject to ongoing evaluation, is important to the Horizon process. This portfolio construction methodology is not passive but rather an active decision that requires constant monitoring and fundamental review of portfolio company business progress combined with unrelenting patience.

Since the Anglo American shares, even after rising 86% in 2009, are trading at only five times normalized earnings, the scenarios just described are not idle suppositions. It is why we actively added to the position between October 2008 and April 2009. At that time, the shares had dropped from our roughly \$26 cost to about \$11, and were trading at only about three times normalized earnings – a truly astounding figure for a profitable company, one of the world's major miners and 40% owner of De Beers. The shares price is almost back to where we started, but due to our active portfolio construction decisions, our cost has been reduced by roughly half, and we own roughly six times more market value.

We believe the notion of being rewarded for not actively trading a portfolio is one of the most difficult challenges in investing. In order to reap that reward, you must be willing to *not* trade upon news of a transitory nature, you must be willing to accept the increasing volatility as the portfolio becomes more concentrated – in short, you must be truly contrarian. Clients will also avoid the trading friction and the significant erosion from capital gains taxes entailed by unnecessary fiddling with position sizes. This portfolio construction methodology is one of the most powerful tools for wealth creation utilized by Horizon. Intelligent investing is not simply about security selection; proper portfolio construction techniques can contribute greatly to long-term performance.

#### Systemic Risk, The Looming Bubble(s), and The Rumor Mongers

Increasingly, Horizon has been asked about systemic risks and bubbles. The idea of a specific bubble has some merit; however the idea of concurrent, continuous bubbles may serve as a study in absurdity. Let us explore some of the vernacular fear peddling perpetrated by the financial media:

- We hear that the U.S. is in danger of tipping into a deflationary spiral. If this is so then one must, it is suggested, be in bonds, not stocks, since corporate profits will evaporate, and bonds are a classic deflationary store of value.
- Yet with almost the same breath, we hear that the U.S. is in danger of tipping into an inflationary spiral, in which case you must not hold bonds – U.S. Treasuries are a bubble.
- Yet if inflation is a risk, perhaps one can retreat to the classic inflation hedge, natural resource stocks. But there have been warnings of a commodity bubble, particularly if China has to restrict its overheated economy.
- So, too, for oil – oil prices are now high, and with economic weakness abounding, demand and prices could collapse.
- What about real estate...especially commercial real estate?
- Okay, how about a classic conservative equity class like utilities? But we know that utilities are treated, at least in the short-term, like bond proxies and will collapse if interest rates rise.
- How about municipal bonds which are yielding more than Treasuries, a most rare event – is that not an opportunity? A fool's opportunity. Municipal bonds are the greatest bubble of them all after Treasuries. Municipalities are about to collapse into bankruptcy.
- Maybe the answer, then, if the U.S. is subject to such systemic risks, is to invest outside of the dollar, perhaps in a nation that is growing more rapidly and without the structural debt or balance of payment problems – China for instance. But that is all over the newspapers now. However, nine months ago the Chinese growth machine was near death and beyond revivification, today it is insupportably hot – another bubble.

What is one to say to all this? It is certainly possible that any one of these sectors could be a bubble. Two of them could be a bubble. We believe that it is not possible that they can all be bubbles, particularly because some of them are mutually exclusive.

If one defines a bubble as the belief, expressed in securities prices, in an event or theory from which one cannot be dissuaded, irrespective of changing circumstance or information, then is not the true bubble here the bubble of fear? If all these fears could somehow have validity, then to be clear-eyed about it, there is no hope anywhere – what awaits us is social chaos. Governments will not be able to govern in the absence of tax revenues from the massively unemployed populace, which revenues will be required to finance the enormous national debt. That which you might earn from some security that is not in default will be taxed away. There is no hope.

One thing is clear, though. There is quite a market for advertising systemic risk. Can one profit by selling risk? If so, where is risk insurance sold, and who is profiting? It's sold in the derivatives market.

The Bank for International Settlements recently measured the total amount of over-the-counter interest rate derivatives outstanding as \$437 trillion. It is the largest, but not the only, category of derivatives. Someone has to broker those contracts. How is that broker doing lately? Let us just say, as an experiment, that the broker charges about the smallest fee one could charge: 1 basis point, which would be 1/100<sup>th</sup> of 1% of the notional value for each trade.

If you multiply that out, \$437 trillion of interest rate derivatives x 0.01%, then the fee revenue would be \$43 billion. Less an allowance for taxes, that is a greater amount of profit than that of the 2<sup>nd</sup> and 3<sup>rd</sup> largest companies in the S&P 500 Index – WalMart and Microsoft. If merely 2 basis points were charged, the profit rivals that of ExxonMobil. We suppose one can become very wealthy by proposing risk. It is just that it cannot be episodic. There is no repeatable business model in suggesting that, for instance, one nation might invade another – that is a one-off deal. You need to sell systemic risk. Which means you need to hedge - hedge your currency, your interest rate risk, your inflation risk, your sovereign risk. Insurance is both efficient and expensive, many investors sell superior long-term returns for subpar incremental returns if they come with a promise systematic risk protection. We believe that the acceptance of interim volatility allows for superior returns through the collection of the risk premium offered by those requiring insurance.

We believe that bubbles can exist, but feel strongly that they all cannot exist contemporaneously. We will continue to invest in companies that we believe can continue to prudently grow shareholders' equity over the long run.

Horizon researches companies constantly; we are always evaluating new ideas within aspects of our aforementioned philosophy and process. We cannot tell you precisely when the market will move up or down, but we can tell you that the possibilities in the upward direction appear material – this belief pertains to securities long held in the portfolio, those newly in place and those that we are still in the process of researching. We believe in our investment philosophy, especially extending the investment time horizon.

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